

Contract Summary for the Purchasing Team

Ridgeline Packaging Co. supply agreement with Lakeside Outfitters. Fictional document for teaching only. All names, figures, and terms are invented.

Here is a short summary of the key commercial terms, prepared for the purchasing team's quarterly contract review.

Term: The agreement started on January 1, 2026 and runs for an initial term of 24 months, ending on December 31, 2027.

Renewal: The agreement renews automatically for 12-month terms, starting January 1, 2028. To prevent renewal, either party must give written notice at least 60 days before the end of the current term.

Minimum commitment: Lakeside Outfitters must buy at least \$180,000 of products and services in each contract year, including each renewal year.

Price increases: Ridgeline may raise prices once in any twelve-month period by no more than 4 percent, with at least 60 days' written notice.

Payment: Invoices are issued monthly and are due within 30 days. Overdue balances accrue interest at 1.5 percent per month.

Early termination: If Lakeside Outfitters ends the agreement for convenience before the end of a term, it owes a fee equal to 35 percent of the minimum commitment remaining for that term.

Breach: Either party may terminate for a material breach that is not cured within 30 days of written notice.

Recommended action: calendar the non-renewal notice deadline now, and review the minimum commitment against projected packaging volume before the first renewal term begins.